CSIS JAPAN CHAIR

Japan Daily Brief

Tuesday, October 20, 2026

1,565 words · 6 min read

RE: BOJ holds, hints hikes · $550B chip split · Japan-US island drills · rare-earth squeeze · Takaichi approval slips

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
64,075.42	158.14	$111.56	1.00%
▼ -5.42%	▼ -0.12%	▲ +5.32%	

TOP STORIES

ECONOMY-BOJ

BOJ spies a chance to pivot to sustaining inflation as 2% goal nears

Governor **Kazuo Ueda** said underlying inflation is 'quite close' to the 2% target and signaled scope for further rate hikes, with AI demand adding price pressure. Sources cited by Reuters expect the BOJ to hold its policy rate at the October meeting while slightly lifting its FY2027 price outlook.

NIKKEI ASIA

ENERGY

Japan ‘months’ from running out of critical rare earth as China squeezes supply

Tokyo has asked the US to help convince Beijing to ease its chokehold on yttrium, warning of a possible manufacturing shutdown. The appeal routes a Chinese export-control lever directly into the US-Japan economic relationship.

FT

DEFENSE

Japan and the US kick off joint drills around islands as regional tensions rise

US and Japanese forces began joint drills around Japanese islands, with Exercise Keen Sword 2027 commencing per INDOPACOM; Nikkei reports advanced missile launchers placed on the front line facing China. Chinese state media Xinhua and Global Times framed the exercises as heightening regional tensions.

WASHINGTON POST

POLITICS-DIET

Opposition offers alternatives to food consumption tax cut in parliamentary debate

Diet debate began on Takaichi's signature food consumption tax cut, with opposition parties presenting alternatives. Takaichi said the two-year, ¥10 trillion measure will not use deficit bonds and will not be extended for economic reasons.

THE JAPAN TIMES

TECHNOLOGY

Under pledge to U.S., Japan’s chip investment divided between home and abroad

Experts told the Japan Times the $550 billion commitment to the Trump administration, made in return for lower tariffs, won't do much to resurrect Japan's own chip industry, with Reuters reporting Tokyo is being pressed to build America's. METI is separately seeking more investment in Rapidus.

THE JAPAN TIMES

TECHNOLOGY

Japan launches probe in historic bid to collect sample from Mars moon

JAXA's Martian Moons Exploration probe lifted off before dawn on an H3 rocket from Tanegashima, in the first attempt to land on a Martian moon and return samples. The five-year mission aims to return material to Earth in 2031.

THE JAPAN TIMES

STAT OF THE DAY

$550B

Japan chip/investment pledge to the US, now split home-and-abroad

Experts cited by the Japan Times say the $550 billion commitment made to the Trump administration in return for lower tariffs will not do much to resurrect Japan's own chip industry, as METI simultaneously presses for more investment in Rapidus.

Under pledge to U.S., Japan's chip investment divided between home and abroad (Japan Times)

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, OCTOBER 20, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Takaichi said in Diet debate that the food consumption tax cut will not use deficit bonds and will not be extended beyond its planned period for economic reasons.

財務省 · MINISTRY OF FINANCE · *Satsuki Katayama, Finance Minister*

Katayama vows fiscal prudence on defense funding

Satsuki Katayama stressed fiscal discipline in financing the defense buildup, after local media reported the government was weighing an additional corporate tax hike to fund the measure.

→ The Japan Times ↗

官邸 · CHIEF CABINET SECRETARY · *Minoru Kihara, Chief Cabinet Secretary*

Japan criticizes Russia over handling of detained journalist

Minoru Kihara criticized Russia over its treatment of detained Hokkaido Shimbun reporter Yuki Imai, held in Sakhalin a week on espionage allegations; Japan continues to be denied consular access. Tokyo separately reaffirmed its pursuit of a territorial solution with Russia on the 70th anniversary of the 1956 Japan-Soviet Joint Declaration.

→ The Japan Times ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

METI seeks more investment in Rapidus

METI is pressing for additional investment in Rapidus, the state-backed 2nm foundry venture in Hokkaido, as Japan weighs how to divide its US-pledged chip commitment between domestic and American projects.

→ mlex.com ↗

厚生労働省 · MINISTRY OF HEALTH, LABOUR AND WELFARE

Japan plans to shift 20,000 skilled visa slots to foreign caregiver program

Government officials told an Oct 19 expert panel they plan to expand the quota for foreign care workers under the Specified Skilled Worker program by 20,000 slots amid surging demand, and to reopen admissions for foreign institutional meal-service cooks by shifting them to the food and beverage manufacturing category.

→ Mainichi ↗

文部科学省 · MINISTRY OF EDUCATION, CULTURE, SPORTS, SCIENCE AND TECHNOLOGY

Education ministry asks University of Tokyo to review president selection

Japan's education ministry on Tuesday asked the University of Tokyo to review the selection process for its next president.

→ Mainichi ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Takaichi declines to specify tax-cut funding source

Prime Minister Sanae Takaichi said the two-year, ¥10 trillion food tax cut would not require deficit bonds and would not be extended for economic reasons; she declined to detail the funding source, drawing opposition criticism amid a tight fiscal picture.

LDP-COALITION

Junior coalition partner presses LDP on Diet seat cut

The LDP's junior coalition partner is pressing the party to commit to a Diet seat reduction, one of several durability tests facing the ruling coalition a year into the Takaichi administration.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**

Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**
Nikkei · Sep 5, 2026 **· 45d ago**	**62%**	**33%**

Discourse: A year into office, major polls diverge sharply — Kyodo shows a record-low 49.1% and Jiji 42.4%, while Yomiuri's post-reshuffle survey held at 57%; the Japan Times frames public support as 'largely intact' despite a scandal-driven ministerial resignation.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · NHK · BLACKSTONE

Blackstone to invest $40 billion in Japan over three years

Blackstone plans to invest $40 billion in Japan over the next three years.

MACRO · BLOOMBERG

Japan's 20-year bond auction sees strongest demand on record

Japan's 20-year JGB auction drew the strongest demand on record, as Bloomberg separately reported domestic investors bought the most Japanese government bonds since 2009.

MANUFACTURING · FT · NIDEC

Nidec founder shut down call for accounting probe in 2017, report finds

An independent committee concluded that **Shigenobu Nagamori** 'neglected his duties' by failing to inform Nidec's board after shutting down a call for an accounting probe in 2017.

MANUFACTURING · NIKKEI ASIA · MITSUBISHI HEAVY INDUSTRIES

Mitsubishi Heavy to revive shipbuilding line for Japan resupply vessel

Mitsubishi Heavy Industries will revive a shipbuilding line to construct a resupply vessel for Japan.

REGIONAL PRESSURE WATCH

Elevated — 34 items (BOJ-heavy)

CHINA

Tokyo asked the US to help persuade Beijing to ease a chokehold on yttrium, warning Japan is 'months' from running out of the critical rare earth and risking a manufacturing shutdown. A China-linked AI agent was separately identified as being used in cyberattacks on Japanese firms, and Chinese state media (Xinhua, Global Times) framed the US-Japan island drills as escalatory.

NORTH KOREA

Seoul vowed 'resolute punishment' after North Korea threatened new border measures, per the Japan Times; no new missile launch toward Japan was reported in today's data.

RUSSIA

Japan criticized Russia over its handling of detained Hokkaido Shimbun reporter Yuki Imai and slammed the lack of consular access; an ex-detainee told Nikkei that Russia wants something in return for the journalist. On the 70th anniversary of the 1956 Japan-Soviet Joint Declaration, Tokyo reaffirmed its pursuit of a territorial solution while Moscow treats the dispute as settled.

Senkaku / ECS: No new China Coast Guard intrusion or scramble near the Senkakus was reported in today's data; the US-Japan island-defense drills place advanced missile launchers on the front line facing China.

> *"Russia wants something in return for the Japan journalist."*
>
> ex-detainee (cited by Nikkei Asia) · Russia wants something in return for Japan journalist, ex-detainee says

Bottom line: The sharpest pressure vector today is economic — China's yttrium squeeze pushing Tokyo to seek US help — alongside the unresolved Russia detention; watch the BOJ's Oct 31 meeting and whether the rare-earth appeal moves to the alliance channel.

U.S.-JAPAN RELATIONS

TRADE · REUTERS

Japan pressed to build America's chip industry as it pursues own reboot

As Japan pursues a chip-industry reboot, it is being pressed to direct its US-pledged investment toward building American capacity under the tariff deal.

ALLIANCE · MAINICHI

US State Department 'condemns' Russia's detention of Japanese journalist

The US State Department said Monday it 'condemns' Russia's detention of a Japanese journalist in its Far East on suspicion of espionage.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · NIKKEI ASIA

Japan's Zipair launches Kuala Lumpur flight as first Malaysia route

Japan's Zipair opened its first Malaysia route with a Kuala Lumpur flight, deepening Japan-Southeast Asia air links.

SOUTHEAST ASIA · MOD JAPAN

Japan-Malaysia defense ministers' talks held

Japan's Ministry of Defense reported defense ministerial talks with Malaysia.

SOUTHEAST ASIA · UA.NEWS

Japan proposes co-hosting AZEC summit with Philippines

Japan proposed co-hosting an Asia Zero Emission Community (AZEC) summit with the Philippines.

SOUTHEAST ASIA · BANGKOK POST RE JAPAN

Thailand and Japan explore digital finance cooperation

Thailand and Japan are exploring cooperation on digital finance.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

FOREIGN AFFAIRS JAPAN

Book Review: “Yakuza: A 400-Year History of the Japanese Underworld” by Andrew Rankin - Foreign Affairs

> *Andrew Rankin's history traces the yakuza across four centuries of the Japanese underworld.*

Foreign Affairs reviews Andrew Rankin's 'Yakuza: A 400-Year History of the Japanese Underworld,' a long-arc account of organized crime in Japan. The review situates the yakuza within Japan's social and institutional history.

UPCOMING

Oct 21 — **Takaichi administration marks one year in office**
The Takaichi Cabinet was inaugurated Oct 21, 2025; major polls show approval near or below 50% a year on.

Oct 27 — **Bangladesh's Tarique to hold bilateral talks with Takaichi in Tokyo**
Bilateral talks are scheduled for Oct 27 per Bangladesh Post.

Oct 30 — **Japan-Germany summit being arranged for late October**
A Japan-Germany leaders' summit is being arranged for late October per Japan Today.

Oct 31 — **BOJ October policy meeting outcome**
Sources expect the BOJ to hold the policy rate while slightly raising its FY2027 price outlook; Ueda signaled scope for further hikes.

Feb 7 — **Northern Territories Day**
Annual observance pressing Russia over the four disputed islands, falling in a year marked by the detained-journalist dispute and the 70th anniversary of the 1956 declaration.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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